This approach has been found to be extremely useful for investors looking to evaluate market trends and to evaluate the performance of their brokers and algorithms. Furthermore, it has proven extremely valuable for portfolio managers performing portfolio attribution and evaluating potential investment opportunities.

Customized Indexes

There are many times when portfolio managers need customized cost indexes for specified indexes, such as market capitalization, growth/value, sector, country, or specific stocks, etc. These cost indexes could be constructed using size (% ADV), dollar value, or share quantity as discussed above, as well as for a specified implementation strategy defined by the portfolio manager.

Each of these customized cost indexes can be constructed providing we have the required data, such as the normalized cost index described above, or historical market impact parameters and corresponding market conditions. We discuss three customization approaches for developing cost indexes below.

Actual Trading Costs. Many times portfolio managers are interested in historical costs for their specific trading style and investment strategies. As mentioned, these costs can be used for portfolio attribution as well as to assist managers improve future stock selection. In this case, portfolio managers can follow the approach described above and back-propagate their current trading costs using the normalized cost index. This is a very efficient and accurate estimate of the historical trading cost environment for portfolio managers whose investment styles and trading strategies will be similar over these periods.

Reconstruction. Portfolio managers at times will need to understand historical trading costs for investment styles that may be different from the investment styles and/or trading strategies they are currently using. This could be used for portfolio attribution or peer group comparison, or more likely, to investigate the profiting opportunity from a different portfolio construction approach via back-testing and simulation. In these situations, portfolio managers will recreate the historical cost index for the specific market conditions and specified orders. This requires managers to have access to not only the historical cost index but also the underlying historical market impact parameters.

Stock Specific Indexes. There are times when managers wish to analyze or back-test trading ideas on a per stock basis. To do so historically we